

INDIANS HAVE ALWAYS coveted the glitter of gold. That desire has stood the test of time, despite challenges from newer financial instruments that promise to deliver better returns.

This is visible in the latest data from the World Gold Council. In its report, Gold Demand Trends 2023, it said Indian gold bar and coin demand rose 7% year-on-year in 2023 to 185 tonnes, while jewellery demand dropped 6% to a still substantial 562.3 tonnes. However, physical gold-backed exchange-traded funds hit a record of 42 tonnes by year-end.

One reason why gold has remained a popular asset is its traditional role as a hedge against inflation. Besides, adding gold to portfolios can help with diversification. Considering this insatiable demand, multiple forms of gold investments have been introduced over time: from minted products (coins and bars), gold bonds, and digital gold to gold exchange-traded funds (ETFs) and mutual funds.

Each of the options comes with its advantages and drawbacks. Physical gold risks theft and burglary, while gold ETFs and bonds have custodian risks and others not present with physical gold.

THE AVENUES

Physical gold—gold coins, jewellery, and bars—can be purchased from a jeweller or a bank. The advantage here is that you have direct ownership, plus it holds sentimental value for many Indians. But one must consider the associated risks here, like storage, safety, making charges, and the risk of receiving less than the market value when sold.

Vikas Singh, MD & CEO of precious metals processing firm MMTC-PAMP, says, “Minted products provide tangible ownership, can be held for long durations, are passed down generations, and hold deep cultural significance. Minted gold and silver products are some of the most preferred forms of investment.”

Next comes digital gold. As the name suggests, investors can

buy, sell, or hold gold in a digital format. Like buying physical gold, with digital gold, you own the gold you purchase. The metal for each transaction is stored in insured vaults monitored by a trustee. There are no storage costs here, and investors can buy or sell 24/7. But these transactions attract goods and services tax (GST) and other charges, which affect the overall returns.

Ajinkya Kulkarni, Co-founder and CEO of fixed income product platform Wint Wealth, says, “Digital gold is still an unregulated space. Hence, investors should avoid it, even if a company offers them cashback or other rewards. It is also inefficient from a taxation point of view, since investors need to pay a 3% GST charge when buying digital gold. For example, if someone buys ₹1,000 worth of

CRUX OF THE MATTER



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PHYSICAL GOLD: Traditional choice for long-term wealth preservation and a tangible heirloom



DIGITAL GOLD: Cost-effective, secure, and liquid micro-investments with minimal fuss



GOLD ETFs: Ideal for short-term trading and easy portfolio diversification without holding physical gold